

Credit Risk Exposure Class Mapping

Problem

A covered bond feed lacks reliable exposure class mapping for standardized credit risk calculations.

Regulatory Requirements

Basel III/IV, CRR.

Options Considered

A: Default to corporate exposure. B: Exclude instrument. C: Map through issuer and collateral rules.

Decision

Map through issuer and collateral rules.

Reasoning

Controlled mapping improves capital calculation accuracy.

Risks

Incorrect risk weights, audit findings, model dependency.